

investors who have limited knowledge and understanding of how to value a business. But the protection comes with a price. According to Buffett, modern portfolio theory “will tell you how to do average. But I think almost anybody can figure out how to do average by fifth grade.”¹⁶

Last, if the efficient market theory (EMT) is correct, there is no possibility, except a random chance, that any person or group could outperform the market, and certainly no chance that the same person or group could consistently do so. Yet Buffett’s performance record for the past 48 years is *prima facie* evidence that it is possible, especially when combined with the experience of other bright individuals who also have beaten the market following Buffett’s lead. What does this say about the efficient market theory?

Buffett’s problem with the efficient market theory rests on one central point: It makes no provision for investors who analyze all the available information and gain a competitive advantage by doing so. “Observing correctly that the market is frequently efficient, they went on to conclude incorrectly that it was always efficient. The difference between these propositions is night and day.”¹⁷

Nonetheless, the efficient market theory is still religiously taught in business schools, a fact that gives Warren Buffett no end of satisfaction. “Naturally, the disservice done students and gullible investment professionals who have swallowed EMT has been an extraordinary service to us and other followers of Graham,” he wryly observed. “In any sort of a contest—financial, mental or physical—it’s an enormous advantage to have opponents who have been taught it’s useless to even try. From a selfish standpoint, we should probably endow chairs to ensure the perpetual teaching of EMT.”¹⁸

Today, investors are caught at an intellectual and deeply emotional crossroads. To the left lies the pathway of modern portfolio theory. The theory has a 50-year history full of academic papers, neat formulas, and Nobel Prize winners. It seeks to get investors from point A to point B with as little price volatility as possible, thereby minimizing the emotional pain of a bumpy ride. Believing the market is efficient, hence price and intrinsic value are one and the same, adherents to modern portfolio theory focus on price first and asset value later—or sometimes not at all.